

INDIAN ECONOMY

LEVEL
II



LECTURES

- FOURTH FIVE-YEAR PLAN
- FIFTH FIVE-YEAR PLAN
- SIXTH FIVE-YEAR PLAN

MODULE - 8



GDP GROWTH

- Target ... 5.7%
- Actual ... 3.3%

FOURTH FIVE-YEAR PLAN (1969-1974)

PREVAILING CIRCUMSTANCES

- Conditions by USA for Food assistance under Public Law-480 made India to realize the need for self-sufficiency. India also decided to stop PL-480 assistance by 1971.
- Indira Gandhi faced political opposition within the ruling party. She also gave a call for “Garibi Hatao”.



SALIENT FEATURES

- It is based on Gadgil strategy with the ideals of “growth with stability” and “progressive achievement of self-reliance”.
- Greater control and regulation of economy and move towards Nationalization.
- Main emphasis was on growth rate of agriculture to enable other sectors to move forward. 24% was earmarked for agriculture and irrigation, and 23% for industrial sector.
- This is the Plan when Central and State Plans were separated.
- This is the time when White Revolution Started under Verghese Kurien.
- Implementation of Family Planning Programmes.

GDP GROWTH

- Target ... 5.7%
- Actual ... 3.3%

FOURTH FIVE-YEAR PLAN (1969-1974)

WHAT DO YOU UNDERSTAND BY PL-480?

- PL-480 is Public Law-480.
- It is United States of America's Peace assistance programme.
- It is to increase diplomatic leverage.
- It is incidental to note that the USA has surpluses in agriculture.
- Subsequently, the programme was revised to strengthen its foreign policy orientation.

- Conditions were imposed with regard to implementing necessary agriculture reforms.
- As far as India is concerned, USA placed critical famine aid to India on a limited basis, until India received assurance that Indian Government would implement agricultural reforms, and temper criticism of US policy regarding Vietnam.



Banks were nationalised in 1969, and it was considered as a bold decision by the then Government.

GDP GROWTH

- Target ... 5.7%
- Actual ... 3.3%



FOURTH FIVE-YEAR PLAN (1969-1974)

PROBLEMS DURING THIS PLAN

- Oil crisis of 1972-73
- Influx of refugees after 1971 War with Pakistan.
- Drought conditions in 1971-72.

Overall growth rate achieved was only 3.3% against 5.7%. This plan is considered a big failure. Some of the features of greater control and politicization continued till the early 1980s.

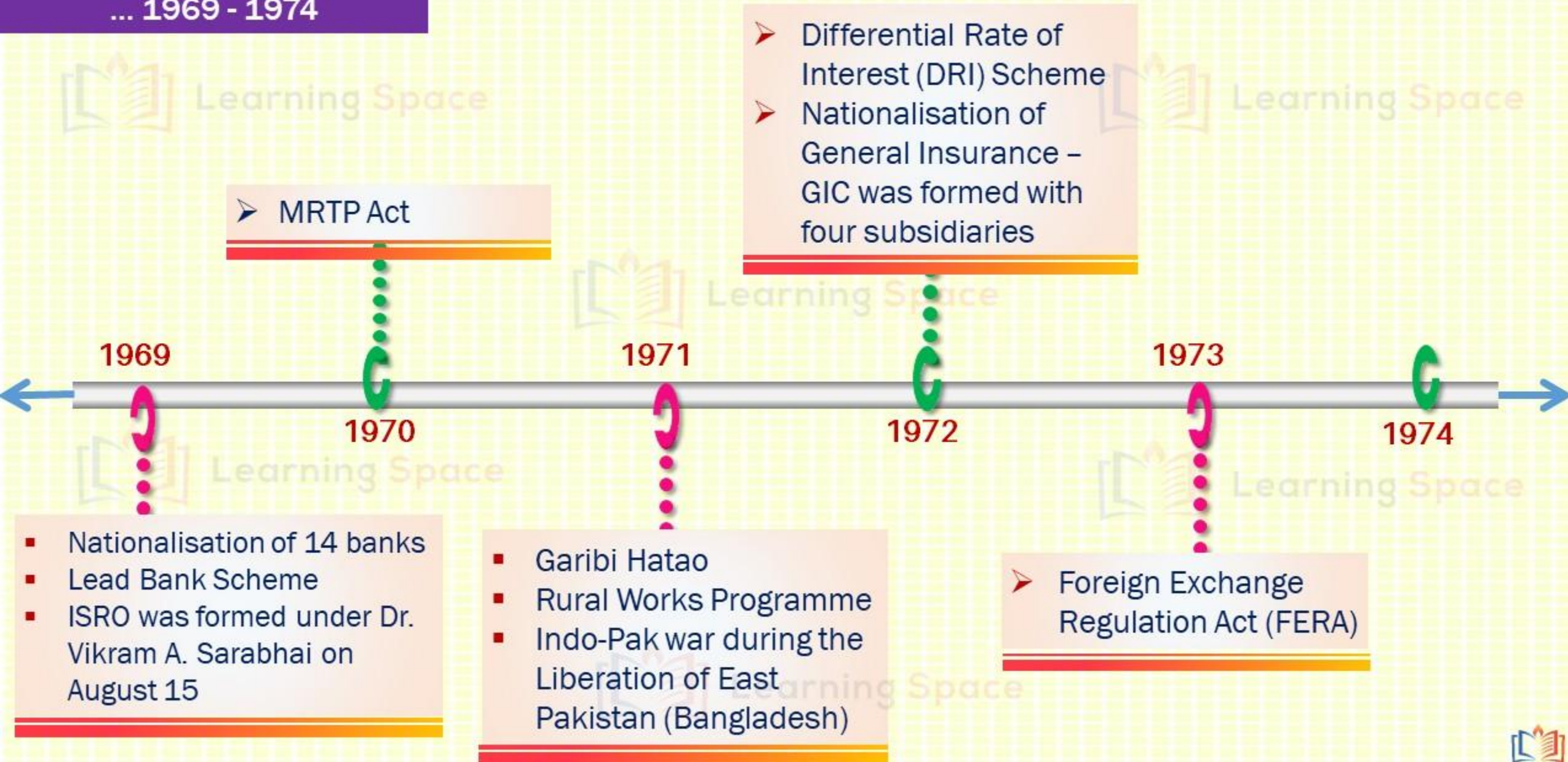
IT IS CONSIDERED A FAILURE!

- Critics say politicization of planning started from this plan.
- This plan also became the origin for serious populist designs in the coming plans.
- Droughts and Indo-Pak war in 1971 led to fund diversions.
- Some of the problems faced include
 - Frequent double digit inflations
 - Unreined increase in the fiscal deficits
 - Subsidy induced higher non-plan expenditures



ECONOMIC DEVELOPMENTS

... 1969 - 1974



GDP GROWTH

- Target ... 4.4%
- Actual ... 4.8%



Garibi Hatao was the election plank of Indira Gandhi in 1971.

FIFTH FIVE-YEAR PLAN (1974-1978)

PREVAILING CIRCUMSTANCES

There was runaway inflation fueled by the hike in oil prices.



KEY FOCUS AREAS

- Draft prepared by D.P. Dhar.
- Two main objectives Garibi Hatao (removal of poverty) and 'attainment of economic self-reliance'.
- Twenty Point Programme (TPP) was launched in 1975 for alleviating poverty.
- Nationalization policy continued.

The plan period was badly disturbed in 1975 with the imposition of Emergency, and a change of Government in the Centre in 1977.

GDP GROWTH

- Target ... 4.4%
- Actual ... 4.8%

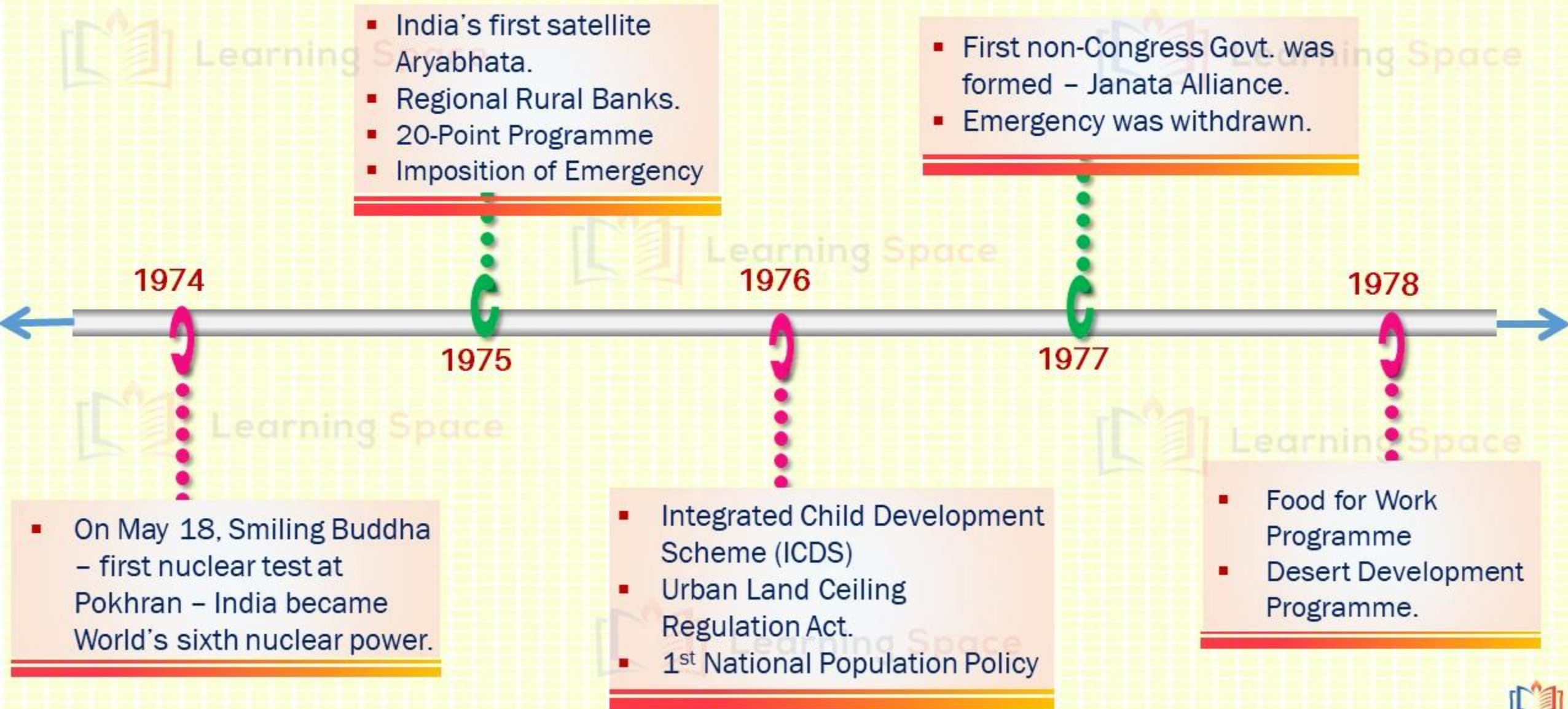
FIFTH FIVE-YEAR PLAN (1974-1978)



After the Janata Alliance came to power in 1977, the new Government cut short the fifth plan by 1 year and drafted a new five year plan for 1978- 1983, calling it the 'Rolling Plan'. But when Congress came back to power in 1980, they launched a fresh sixth plan scrapping the earlier one.

HOW TO VIEW THIS PLAN?

- Emergency during 1975 – 77 led to the decline in governance. Emphasis shifted to Twenty Point Programme (TPP).
- Very high inflation led to handing over the responsibility of controlling Inflation to RBI.
- Increase in regional and socio-economic disparities.
- Planning got more politicized.
- No improvement in unemployment situation.

ECONOMIC DEVELOPMENTS
... 1974 - 1978

IMPORTANT INITIATIVES DURING 1978-1980

- In 1978, District Industries Centers were started.
- In 1979, to give training for self-employment in the 18-35 age group of youth, Training Rural Youth for Self-Employment (TRYSEM) was introduced.
- Integrated Rural Development Programme was started in 1978-79.

However, the Janata Alliance due to internal squabbles lost power in 1980 Elections and Indira Gandhi returned back to power, and reintroduced concept of Five Year Plans, and Sixth Five Year Plan commenced on 1st April, 1980.

EMERGENCE OF THE CONCEPT OF ROLLING PLAN (1978-80)

- After Emergency, Janata Alliance came to power in 1977.
- It criticized the Nehruvian model for its concentration of power, widening inequalities and for mounting poverty.
- Rolling Plan concept is the idea of Gunnar Myrdal of Sweden. For the first time, it was implemented in Netherlands.
- In India, the concept is carried forward by D. T. Lakdawala.
- It kept aside heavy industries and gave priority to small scale industries.
- We can say, it is close to the ideology of the Gandhian Plan.

GDP GROWTH

- Target ... 5.2%
- Actual 5.7%



SIXTH FIVE-YEAR PLAN (1980-1985)

KEY FOCUS AREAS

- Major focus is on alleviating poverty and addressing the increasing socio-economic, regional disparities.
- Emphasis on socio-economic infrastructure in the rural areas.
- It marked the shift towards welfare orientation.
- Other element is also to encourage modernization and technological self-sufficiency.
- The focus on heavy industries was reduced, and focus increased on employment generation (to reduce unemployment).

IMPORTANT PROGRAMMES

- National Rural Employment Program (NREP) was launched
- Expansion of IRDP, which was launched in 1978. TRYSEM became the “self employment for youth” component of IRDP.
- Target group approach, where directly people facing a particular problem are targeted.

For the first time, 28% was allocated to Energy Sector.

GDP GROWTH

- Target ... 5.2%
- Actual 5.7%



In general, the first six five year plans were directed plans, as there was a larger role of public sector, and Government ensured major investment in some areas.

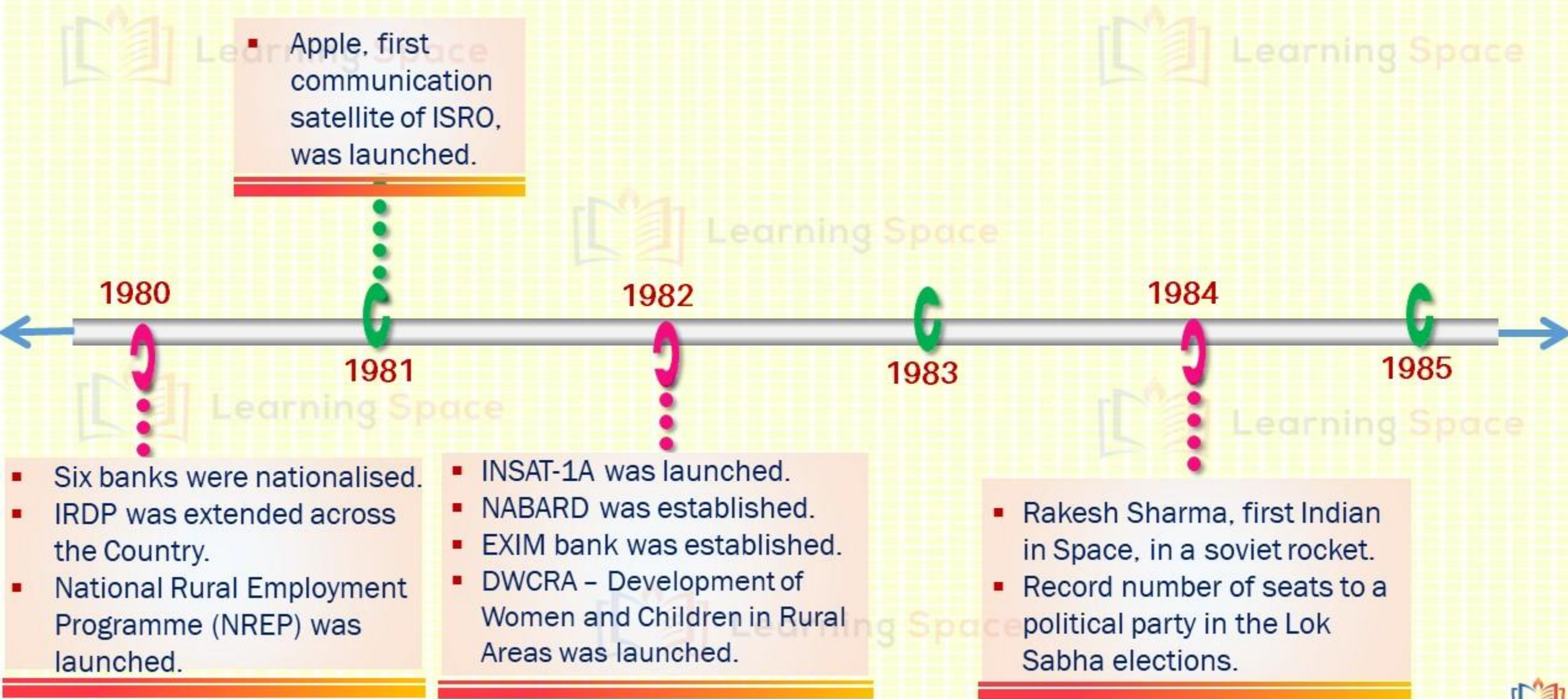
SIXTH FIVE-YEAR PLAN (1980-1985)

HOW TO VIEW THIS PLAN?

- Majority of the targets were realised and hence, it can be considered a success.
- Goals like eliminating rural poverty and reducing regional disparities through IRDP also considered a success.
- For the first time, this plan achieved 5.7% growth rate and this overcame the Hindu rate of growth of around 3-3.5%, as mentioned by Professor Raj Krishna.
- Critics say it further increased populism and politicisation of planning.

Towards Fifth and Sixth Plans, poverty and welfare orientation of the plans became visible.

ECONOMIC DEVELOPMENTS ... 1980 - 1985



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